Business Choices

Unit 1 · 1.3.5.5 Entrepreneurs and leaders

Opportunity cost

Resources are **scarce**, so every choice has a cost. **Opportunity cost** is the value of the next best alternative given up. E.g. with £50m a firm can build a factory OR invest in product development — build the factory and the opportunity cost is the product development sacrificed.

The concept improves decision-making: by assessing each option a firm picks the better one and knowingly sacrifices the rest. But it is only reliable if the information (ideally market research) is accurate.

Trade-offs

A **trade-off** is where two objectives cannot both be fully achieved, so more of one means less of another.

- **Ethics vs profit** — acting ethically raises costs and cuts short-term profit.
- **Growth vs profit** — fast expansion can lower short-term profit as money is reinvested.
- **Price vs quality** — cheaper inputs lift margins but can lower quality.

A trade-off is not always sharp: an ethical or social stance can become a **USP** that raises demand and long-term profit rather than reducing it.